

DATA CLASSIFICATION AND INVENTORY POLICY

Acme Financial Services

Document Owner: Chief Information Security Officer

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Classification: Internal Use

Prepared by: Vearnell Israel

DOCUMENT CONTROL

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REVISION CONTROL

Version	Date	Description of Change	Author
1.0	June 2026	Initial Release	Vearnell Israel

1. PURPOSE

The purpose of this Data Classification and Inventory Policy is to establish requirements for identifying, classifying, documenting, managing, protecting, retaining, and disposing of Acme Financial Services data assets throughout their lifecycle.

This policy supports effective data governance by ensuring that organizational data is properly inventoried, assigned ownership, classified according to sensitivity, and protected based on business, legal, regulatory, and contractual requirements. Proper data classification and inventory management improve data visibility, strengthen cybersecurity controls, support risk management activities, and reduce the likelihood of unauthorized disclosure, modification, or loss of information.

2. SCOPE

This policy applies to all Acme Financial Services employees, contractors, consultants, temporary workers, vendors, and third-party service providers who create, access, store, process, transmit, manage, or dispose of company data.

This policy applies to all information assets maintained by Acme Financial Services, including customer information, employee records, financial information, operational records, intellectual property, system-generated data, cloud-hosted data, and information maintained by third-party service providers.

Compliance with this policy is mandatory. Any exceptions must be approved by the Chief Information Security Officer or designated executive leadership.

3. DATA CLASSIFICATION AND INVENTORY REQUIREMENTS

3.1 Data Ownership

All organizational data shall have an assigned data owner responsible for determining classification levels, approving access requirements, defining retention requirements, and ensuring appropriate safeguards are applied.

3.2 Data Inventory Management

Acme Financial Services shall maintain a centralized inventory of organizational data assets. The inventory shall identify data owners, business purpose, storage locations, retention requirements, classification levels, and systems where the data is processed or stored.

3.3 Data Classification Categories

All organizational data shall be classified according to its sensitivity, business value, legal obligations, and potential impact if disclosed, altered, or destroyed.

Classification Levels

Classification	Description	Examples
Public	Information approved for public release	Marketing materials, public website content
Internal Use	Information intended for internal business operations	Policies, procedures, internal communications
Confidential	Sensitive business information	Financial reports, contracts, employee records
Restricted	Highly Sensitive information requiring the highest protection	Customer financial data, authentication credentials, Social Security Numbers

3.4 Data Identification and Labeling

Data owners shall ensure that data is appropriately identified and labeled according to its classification level whenever technically feasible. Classification labels shall be applied to documents, databases, systems, and repositories containing sensitive information.

3.5 Data Location and Mapping

The organization shall maintain documentation identifying where critical and sensitive data is collected, processed, stored, transmitted, archived, and disposed of throughout its lifecycle. Data inventories shall include information stored on-premises, within cloud environments, and with third-party service providers.

3.6 Data Handling and Protection Requirements

Data shall be protected according to its assigned classification level. Appropriate safeguards may include access controls, encryption, monitoring, backup procedures, data loss prevention controls, and security logging.

Restricted and Confidential data shall receive enhanced protection measures consistent with business, regulatory, and contractual requirements.

3.7 Data Retention and Archiving

Data retention requirements shall be established based on legal, regulatory, operational, and contractual obligations. Data owners shall ensure that information is retained only as long as necessary to satisfy business and compliance requirements.

Archived data shall remain protected according to its assigned classification level.

3.8 Data Sharing and Third-Party Management

Data shared with third-party service providers shall be subject to contractual security requirements, confidentiality obligations, and appropriate risk assessments.

Third-party organizations receiving Confidential or Restricted data shall implement safeguards that provide protection equivalent to Acme Financial Services security requirements.

3.9 Data Disposal and Destruction

Data that is no longer required shall be securely disposed of in accordance with approved retention schedules and disposal procedures.

Electronic data shall be securely erased or destroyed using approved methods. Physical records shall be shredded or otherwise rendered unreadable prior to disposal.

3.10 Data Inventory Review and Maintenance

Data inventories shall be reviewed periodically to ensure accuracy, completeness, and continued business relevance.

Data owners shall update inventory records when significant changes occur, including new systems, new data collections, changes in business processes, cloud migrations, or third-party service engagements.

4. POLICY SANCTIONS

Failure to comply with this policy may result in corrective or disciplinary action in accordance with Acme Financial Services' human resources procedures, contractual agreements, and applicable laws.

Disciplinary action may include mandatory security awareness training, written warning, suspension of access privileges, contract termination, employment termination, or legal action, depending on the severity of the violation.

5. REVIEW AND APPROVAL

This policy shall be reviewed annually by the Information Security team and approved by executive leadership. Updates may be made sooner if required due to changes in business operations, technology, regulatory requirements, privacy obligations, or cybersecurity risks.

Approved By:

Chief Information Security Officer

Date: _____

Executive Leadership Team

Date: _____

